

The first measure is the book-to-market (B/M) ratio which is commonly used in academic research, as discussed earlier. A common practitioner ratio is the price-to-earnings (P/E) ratio. This metric simply takes the price of the stock and divides it by the earnings per share of the firm. For comparison's sake, we use the inverse of this ratio, or the earnings-to-price (E/P) ratio. The last measure we examine is earnings before interest and taxes divided by the total enterprise value (EBIT/TEV). This measures how much operating profit a firm makes (EBIT) and divides it by the total amount one would need to pay to buy the entire firm (TEV). The TEV measure is the sum of the firm's market capitalization (stock), debt and preferred stock, minus the firm's cash value. This measure is commonly used by private equity firms to ascertain the costs of purchasing all assets of a firm. The TEV measure helps private equity firms compare publically traded firms with different capital structures.

Stock returns are measured from July 1, 1963, through December 31, 2014 (we do not have reliable data prior to 1963). We eliminate smaller firms based on the NYSE market capitalization breakpoints. Specifically, we eliminate any firms below the NYSE 40th percentile for market capitalization. As of December 31, 2014, this was around \$1.9 billion. We do this to examine mid- to large-cap firms and to minimize erroneous results associated with micro-cap or small-cap firms. Firms are sorted into deciles on each valuation measure (i.e., B/M, E/P, or EBIT/TEV) on June 30 of year t , and this value is used to compute the monthly returns from July 1 of year t to June 30 of year $t + 1$. Last, we require firms to include each of the three ratios in the universe of stocks under analysis.

Results are shown for the top decile (Panel A: value stocks), bottom decile (Panel B: growth stocks), as well the universe of firms from which we select. All portfolios are market-cap weighted (see [Table 8.2](#)).⁹